



Marios Stamatoudis

Strategy: **Momentum Based**
Asset Class: **Stocks**
Years Trading **10+ Years**

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Parabolic Short Strategy

Instruments:

Stocks

Trading style:

Day Trading

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Before The Setup Pic



After The Setup Pic

Strategy Overview

This strategy focuses on one specific moment in the market, when a strong move becomes unsustainable and starts to collapse.

When a stock moves up quickly, it begins to attract attention. Early buyers get in first, then momentum traders follow, and eventually late buyers enter because they don't want to miss out. At that point, the trade becomes crowded. Most of the demand has already entered the market.

The trend may still look strong, but it is no longer being driven by new buyers. It is being held up by existing participants, and that makes it fragile.

The goal of this strategy is to recognize when a parabolic move is reaching its final stage, wait for clear confirmation instead of guessing the top, and then either exit long positions into strength or enter short with a defined setup.

The move that follows is usually fast and happens within the same day.

This is not something that appears every day. It requires patience. But when everything aligns, it tends to produce very high-probability opportunities.

What Is a Parabolic Exhaustion Move

A parabolic exhaustion move is the final phase of an aggressive uptrend, where price starts accelerating quickly and often moves almost vertically before reversing.

This is not a slow-topping process. It is a sudden shift.

Leading into this phase, price moves faster, candles become larger, and gaps may appear. Traders are no longer entering carefully; they are chasing the move.

Volume increases, and more participants are involved than at any earlier stage. The trade becomes crowded. At this point, there are very few new buyers left. Most of the demand has already been used. Because of that, even a small amount of selling can push the price lower very quickly.

This happens because of how markets behave. As price rises, more people buy. As more people buy, the price goes higher. This attracts even more buyers. This continues until almost everyone is already in the trade.

Once that happens, it only takes a small trigger for the move to collapse.

The quantum computing stocks in late 2024 are a good example. They had already made strong moves, and when negative news came out, they dropped immediately. The pressure was already there — the news only triggered the move.

The Three Core Components

Every valid setup is built on three things working together.

First, the stock must have already made a strong move from a recent base. This is what creates the crowded condition.

Second, the way the move happened must show acceleration. It should not be slow and controlled. It should show urgency, with strong candles and fast movement.

Third, there must be an exhaustion day. This is the day when the price stops going up, loses strength, and begins to break down. The strategy focuses on capturing that moment, not predicting it.

If any of these are missing, the setup is not valid.

Filter 1: Size of the Move

The first step is making sure the stock has moved enough to be considered extended. This depends on the size of the company.

Smaller companies move more aggressively, so they need a larger percentage move. Larger companies move more slowly, so smaller moves can still be significant.

A small-cap stock generally needs to move around 200 percent or more from its last base. A mid-cap stock usually requires around 100 percent. A large-cap stock can qualify with a move closer to 50 percent.

The move should always be measured from the most recent base, not the absolute bottom. A simple way to find this base is the last time price touched the 20-day moving average before the strong move began.

When the move is much larger than these levels, it enters what can be considered an extreme zone. In those cases, the probability of a sharp reversal increases, and the move down can be more aggressive.

Filter 2: Structure of the Move

After confirming the size of the move, the next step is to understand how the move developed.

Some stocks move up slowly with small candles. These trends are controlled, and traders have time to enter and exit. These do not create strong exhaustion setups.

Other stocks move up but include regular pullbacks. These pullbacks release pressure, which reduces the chance of a sharp reversal.

The type of move you want to see is different.

The best setups happen when the move becomes aggressive. Price starts accelerating, candles become large, and the slope becomes steep. In some cases, there are gaps between sessions. This creates urgency and traps traders.

Often, the strongest setups come from a combination of both conditions. A stock may move up gradually for some time, and then suddenly shift into a fast, aggressive phase. This traps both early buyers and late chasers at the same time.

Additional Signs That Strengthen the Setup

There are a few extra signs that can make the setup stronger. One is volume. When volume reaches the highest levels seen in recent history, it often means the final wave of buyers has entered the trade. At that point, the market is saturated.

Another is psychological price levels. Round numbers like 100, 300, or 500 attract attention. When price reaches these levels for the first time after a strong move, it often triggers reactions from traders.

These are not required, but when they are present, the setup becomes stronger.

Types of Stocks

Different types of stocks behave differently during exhaustion.

Strong, well-known stocks that have been trending for a long time usually produce smaller but still meaningful drops. These are often around 10 to 20 percent, and sometimes more if the move was extreme.

Stocks driven by hype or strong themes tend to drop faster and more aggressively. These can move 20 to 40 percent or more in a single day.

Newly listed stocks, or IPOs, can also produce sharp moves. These are less predictable, but they often fall somewhere in between.

The Exhaustion Day

Even when everything else is in place, the trade is not valid until the exhaustion day appears. This is identified by a clear change in behavior.

Price stops making higher highs. Lower highs begin to form, followed by lower lows. The trend that looked strong starts to fail.

VWAP becomes the key level to watch.

On a true exhaustion day, price moves below VWAP and is unable to reclaim it. Sometimes price will move back toward VWAP briefly, but the move is weak and gets rejected. This rejection confirms that buyers are no longer in control.

If the price stays above VWAP and continues higher, the setup is not active.

Entry Execution

Entries are based on confirmation. The first type of entry comes when price breaks its upward structure and starts forming lower highs and lower lows. This is earlier and carries more risk.

A stronger entry happens when price breaks structure and loses VWAP at the same time. This shows that the shift is more meaningful. The best entry occurs when price tries to move back above VWAP and fails. This confirms that buyers cannot regain control and usually leads to the next move lower.

If price reclaims VWAP strongly and continues higher, the setup is no longer valid.

Timing the Trade

This setup only exists within a short window. The exhaustion day usually happens on the same day as the final push higher, or the following day. If nothing happens within two days, the setup should be ignored. This prevents forcing trades when the trend is still strong.

Managing Risk

Risk should always be controlled. A common stop level is the high of the day or the most recent lower high. If price breaks that level, the setup has failed.

Partial profits should be taken once the trade moves in your favor. After that, the stop can be moved to break-even. The trade should be closed before the end of the day. Holding overnight increases risk and is not part of the strategy.

If the setup fails once, a second attempt can be taken. If it fails again, it is best to move on.

The Risk-Free Add

After taking partial profits and moving the stop to break-even, the remaining position is protected.

At this point, if price returns to VWAP and fails again, additional size can be added.

Because the stop is already at break-even, the added position does not increase overall risk. If the trade fails, earlier profits cover the loss. If it works, the position is larger during the strongest part of the move.

Expected Move

Before entering any trade, it is important to estimate how much the stock can realistically move.

Stronger, more stable stocks usually move around 10 to 20 percent. More volatile or hype-driven stocks can move 20 to 40 percent or more. IPOs often fall somewhere in between.

If a large part of the move has already happened, for example after a big gap down, the trade may no longer be worth taking.

Trade Example: SMCI

SMCI was a strong AI stock that had been trending higher for a long time before accelerating sharply in early 2024. The move met all the conditions. It had a strong prior move, large expansion candles, high volume, and was approaching a key level.



Trade

Example: SMCI

On the exhaustion day, price began to show weakness early. It formed lower highs, moved below VWAP, and then tried to reclaim it. That move failed. The short entry was taken at the VWAP rejection, with the stop placed at the high of the day.

The stock dropped around 23 to 24 percent in a single day, which was in line with expectations. That day also marked the end of the larger uptrend.

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